

TAX REVIEW COMMISSION 2025-2027

Meeting Minutes, **Tuesday, August 11, 2026**

Virtual Meeting

Meeting was held virtually and video recorded.

Recorded Video Link: https://www.youtube.com/watch?v=cXlp_qGqfz8

Tuesday, August 11, 2026

2:00 p.m.

PRESENT:

Commission Members:

Jonathan White (Chair), Judith Chock (Vice-Chair), Jessica Enos, Mark Fukunaga, Stacey Katakura, Jeffrey Ueoka and Jon Yasuda

Staff Members:

Department of Taxation (DOTAX): Director Gary Suganuma, TRC Executive Director Dr. Baybars Karacaovali (DOTAX Tax Research & Planning Officer) and Roderick Tuliao (Administrative Assistant)

Attorney General's Office:

Deputy Attorney General Michael Dunford

Guest Panelists:

Assistant Professor Dr. Dylan Moore (UHERO & Department of Economics
University of Hawai'i at Manoa)
Dr. John Knox

CALL TO ORDER

Chair White called the meeting to order at 2:02 p.m. A quorum was present.

Roll Call:

Mr. Jonathan White	Present
Ms. Judith Chock	Present
Ms. Jessica Enos	Present
Mr. Mark Fukunaga	Present
Ms. Stacey Katakura	Present

Mr. Jeffrey Ueoka
Mr. Jon Yasuda

Present
Present

COMMUNICATIONS TO THE COMMISSION AND PUBLIC COMMENT

Chair White asked if there was any communication to the Tax Review Commission (TRC).

Dr. Karacaovali said there was no communication received.

Chair White allowed time for comments from the public, no comments were received from the public.

MINUTES OF THE MEETING OF JULY 14, 2026

Chair White asked the Commission if there were any changes to the July 14, 2026, minutes.

Chair White asked if there were no objections, the minutes would be approved by acclamation.

There were no objections, so the minutes got approved.

DISCUSSION OF FOLLOW-UP CONTACT WITH SENATE WAYS AND MEANS AND HOUSE FINANCE COMMITTEES:

Chair White asked the commission if there was any follow-up on contacts with Ways and Means and House Finance committee.

Chair White suggested moving the agenda line item and having this discussion after the presentation from UHERO.

There were no objections.

UPDATE FROM THE EVALUATION COMMITTEE REGARDING THE HIRING OF CONSULTANTS AND PROCEDURAL MATTERS, IF ANY:

Chair White asked if there were any updates from the committee regarding the hiring of consultants.

Dr. Karacaovali informed the commission that the DOTAX's fiscal office and the University of Hawai'i fiscal office is in contact with each other and will get the details of the memorandum of understanding and agreement.

Dr. Karacaovali also stated that the document which was shared with the commission and posted on the TRC webpage is the final version of the proposal approved by the committee and that Dr. Dylan Moore will be giving a presentation regarding the UHERO proposal.

Dr. Karacaovali then acknowledged Dr. John Knox who agreed to give the TRC guidance about TAT related to tourism and taxation topics.

Mr. Fukunaga added to Dr. Karacaovali's update and said that the conversations with Dr. Moore focus particularly on the deliverables.

Ms. Chock agreed with both Mr. Fukunaga and Dr. Karacaovali regarding their updates for hiring consultants.

PRESENTATION BY DR. DYLAN MOORE REGARDING THE UNIVERSITY OF HAWAI'I ECONOMIC RESEARCH ORGANIZATION (UHERO) PROPOSAL FOR TRC PROJECTS; QUESTIONS; AND DISCUSSION:

Dr. Karacaovali started the presentation with providing a brief introduction for Dr. Moore, a public finance economist at the University of Hawaii Manoa.

Dr. Moore then introduced himself and acknowledged Dr. Nicolas Lacoste who was not at the meeting but will be joining UHERO in the fall to assist Dr. Moore.

Dr. Moore provided an overview of what he thinks his role would be as a consultant to the TRC based on the conversations with Ms. Chock, Mr. Fukunaga, and Dr. Karacaovali.

Dr. Moore said his knowledge and views of how tax policy works can contribute to the TRC by providing a better understanding of the tax system and what sort of alternatives might be possible and what would happen if the State was to pursue an alternative tax structure compared to the present tax structure.

Dr. Moore continued to state that the central focus will be the notion of tax competitiveness which would address the following:

1. What sort of public policies might lead people to leave the State
2. What sorts of public policies are going to make people want to remain in the State
3. What tax policies might encourage business activity in the State
4. What sorts of public policies or tax policies might lead businesses to leave the State

5. What reduces competitiveness for attracting both labor and capital
6. Emphasizing what types of taxes, the State should expect to provoke large and swift responses
7. What sort of taxes might the State expect to lose out on through revenue because of how people might respond to the tax versus what types of taxes might the State expect that it's harder for people to respond and therefore maybe less likely to have a substantial negative impact on the economy
8. The central framing device of what sort of taxes are easy for people to escape from and which ones are harder
9. What sort of taxes would the State expect to provoke a big response in terms of attracting activity

Dr. Moore stated that at a high level UHERO will be able to tackle those topics through a range of different tax instruments ranging from property taxes to income taxes, to the general excise tax, and corporate income taxes.

Dr. Moore acknowledged what he felt TRC was most interested in, which is keeping revenue constant.

Dr. Moore said that they will address how the State could raise the same amount of revenue but under different circumstances and they will provide which ones might be more impactful and more disruptive to the economy.

Chair White asked the commission if there were any questions or reactions for Dr. Moore.

Mr. Fukunaga suggested that the committee, which consists of Ms. Chock, Dr. Karacaovali, and himself, have regular check-ins with Dr. Moore and Dr. Lacoste every 2-3 weeks.

Chair White asked what the priority was as stated on page 6 of the proposal was revenue neutrality or is the priorities cutting or eliminating corporate tax, lowering top income tax.

Mr. Fukunaga clarified that what was stated in the proposal is the possibilities that could be explored and that revenue neutrality overall is the objective.

Chair White asked the commission what the cost would be as it was not stated in the proposal.

Dr. Karacaovali answered that it is not currently in the proposal because it will be listed in the MOA and the budget tentatively would be around \$150,000 which includes some overhead that UH charges and fringe benefits.

Dr. Karacaovali pointed out that the TRC still has room potentially for the final report writing.

The UHERO Research Proposal is available on the Tax Review Commission website:
https://files.hawaii.gov/tax/stats/trc/docs2025/2026-08-11_UHERO_Research_Proposal.pdf

TRC DISCUSSION ON TOPICS OF INTEREST: (a) TAXATION OF RETIREMENT INCOME (Primary Focus); (b) FRAMEWORK FOR EVALUATION/CRITIQUING TAX CREDITS AND EXEMPTIONS; (c) SINGLE SALES FACTOR (SSF) APPORTIONMENT FOR CORPORATE INCOME TAXATION:

Chair White moved on to the next agenda item of substantive topics of interest.

Mr. Yasuda started the discussion by addressing compliance as noted from the previous meeting.

Mr. Yasuda highlighted schedule J and how to get taxpayers to fill it out by suggesting giving a nominal exemption.

Chair White said that the commission would need a nominal number for the exemption or the commission could just allow the legislation to make that decision if the Legislature takes the recommendation.

Ms. Enos expressed that the issue currently is not being able to collect data on the impact of pensions being excluded and suggested maybe creating or updating a form to help with compliance for schedule J.

Ms. Katakura asked if recommendations for changing the forms were in the purview of the Tax Review Commission and if so, what the process would be like to revise tax forms.

Dr. Karacaovali said recommendations for changing forms would be in the purview of the Tax Review Commission.

Chair White volunteered to put together some language by the next meeting regarding changing the forms for schedule J.

Chair White then transitioned to discuss the framework for credits and exemptions.

Chair White acknowledged the commission's comments regarding the framework for credits and exemptions and suggested having a parallel discussion.

Chair White called for a break.

12 MINUTE BREAK

Chair White at 2:58pm called for a 12-minute break and asked each Commission member to turn off their microphones, turn off their cameras, and avoid discussing any TRC business during the 12-minute break.

Commission members returned from their 12-minute break at 3:10pm to continue the meeting.

CONTINUED TRC DISCUSSION ON TOPICS OF INTEREST:

Chair White continued the meeting by discussing the three-factor formula which the state currently uses as a single factor.

Ms. Enos shared that she thinks this could get more revenue to Hawai'i without having that big of an impact on Hawai'i companies.

Chair White provided some data by stating that 34 states have single sales factors, and 4 or 5 states don't have a corporate income tax and has converted to single sales factor, and in some states, they have a double weighted sales factor.

Chair White also pointed out that there has been push back against single sales factor by noting 235-8, which states if a taxpayer can claim that the statutory formula, doesn't fairly reflect the business activity of the taxpayer and that the corporate tax is too high the department can impose an alternative apportionment stating that the statutory formula is not reflecting what the taxpayer is doing in the state.

Mr. Fukunaga thinks that the state would get marginally more revenue with single sales tax due to the state not having a lot of companies that are headquartered in Hawai'i.

Ms. Enos thinks that having a business with its headquarters in Hawai'i is difficult with how the economy has moved to online purchasing and the State will continue to lose revenue whereas if it was single sales.

Chair White asked the commission if there was any further discussion regarding single sales factor.

There was no further discussion.

Dr. Knox had a question for the commission regarding the earlier discussion of framework for evaluating and critiquing tax credits.

Dr. Knox asked if the commission considered logic models that were endemic or intrinsic.

Chair White responded that he is unable to know if there will be any overlap.

Chair White asked if there were any more topics that the commission were going to discuss in house that may have been missed.

Ms. Enos asked about 1031 claw backs.

Chair White said that he'll will add 1031 claw backs for topics to be discussed for the next meeting.

Chair White said that he would also add conveyance tax, controlling interest and provisions under the conveyance tax.

Mr. Ueoka added that he received a call from Senator Hashimoto to see if the commission would discuss matching the federal estate tax with the state of Hawai'i estate tax.

The commission agreed to discuss consideration of estate tax.

Chair moved on to the next agenda item.

DISCUSSION ON THE NEXT MEETING AGENDA AND SCHEDULING THE NEXT MEETING

Chair White suggested the commission to accelerate their meetings to every 2 weeks and suggested scheduling a date for the final meeting for the TRC.

The Tax Review Commission agreed to meet on Tuesday, September 1, 2026, at 2:00 p.m. and Friday, September 18, 2026. Both will be virtual meetings.

ADJOURNMENT:

Chair White adjourned the meeting at 4:00 p.m.